China and the middle-income trap

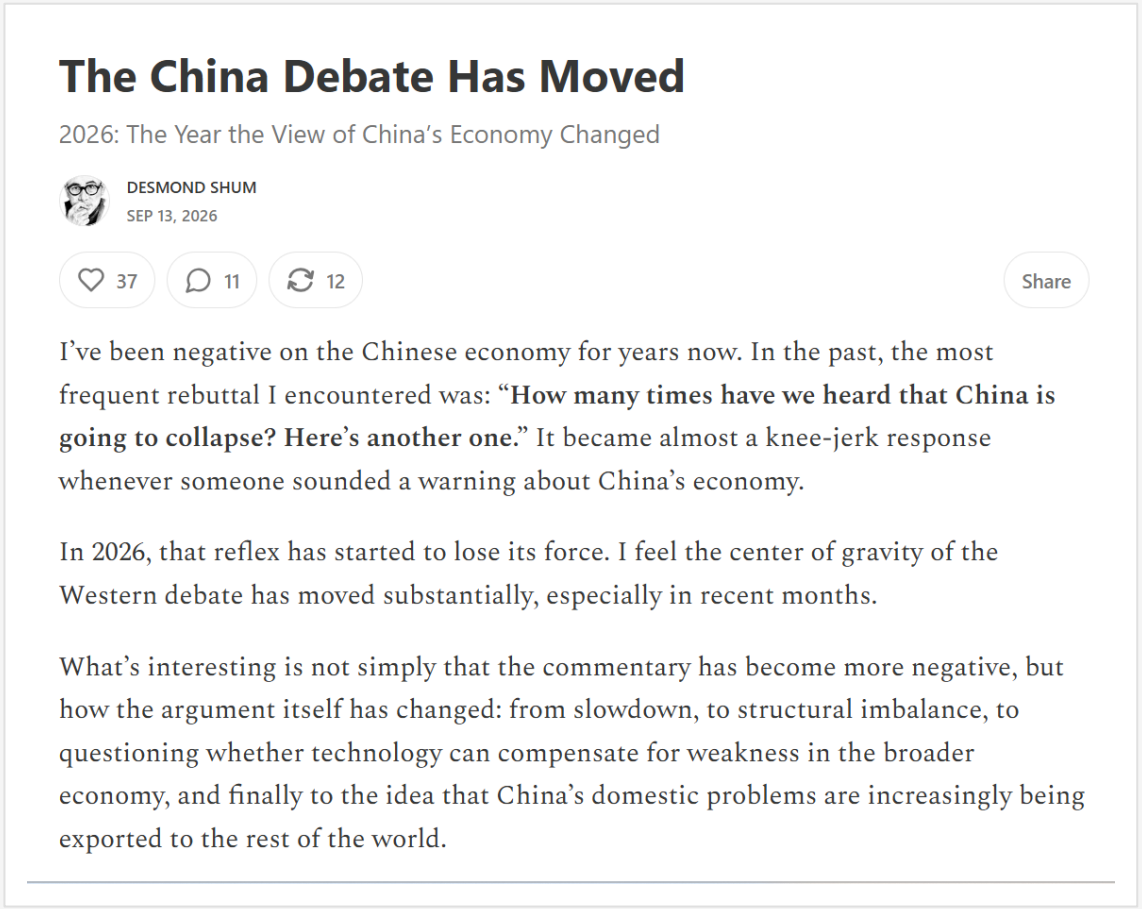
Strong on investment, infusion and innovation. So why is growth slowing?

PROFESSOR KIRSTEN CORNELSON · GLOBAL MACROECONOMICS FOR MANAGERS

IVEY

The China debate has moved

In the news: Desmond Shum, “2026: The Year the View of China’s Economy Changed”



The China Debate Has Moved

2026: The Year the View of China’s Economy Changed

DESMOND SHUM
SEP 13, 2026

37 11 12 Share

I’ve been negative on the Chinese economy for years now. In the past, the most frequent rebuttal I encountered was: “**How many times have we heard that China is going to collapse? Here’s another one.**” It became almost a knee-jerk response whenever someone sounded a warning about China’s economy.

In 2026, that reflex has started to lose its force. I feel the center of gravity of the Western debate has moved substantially, especially in recent months.

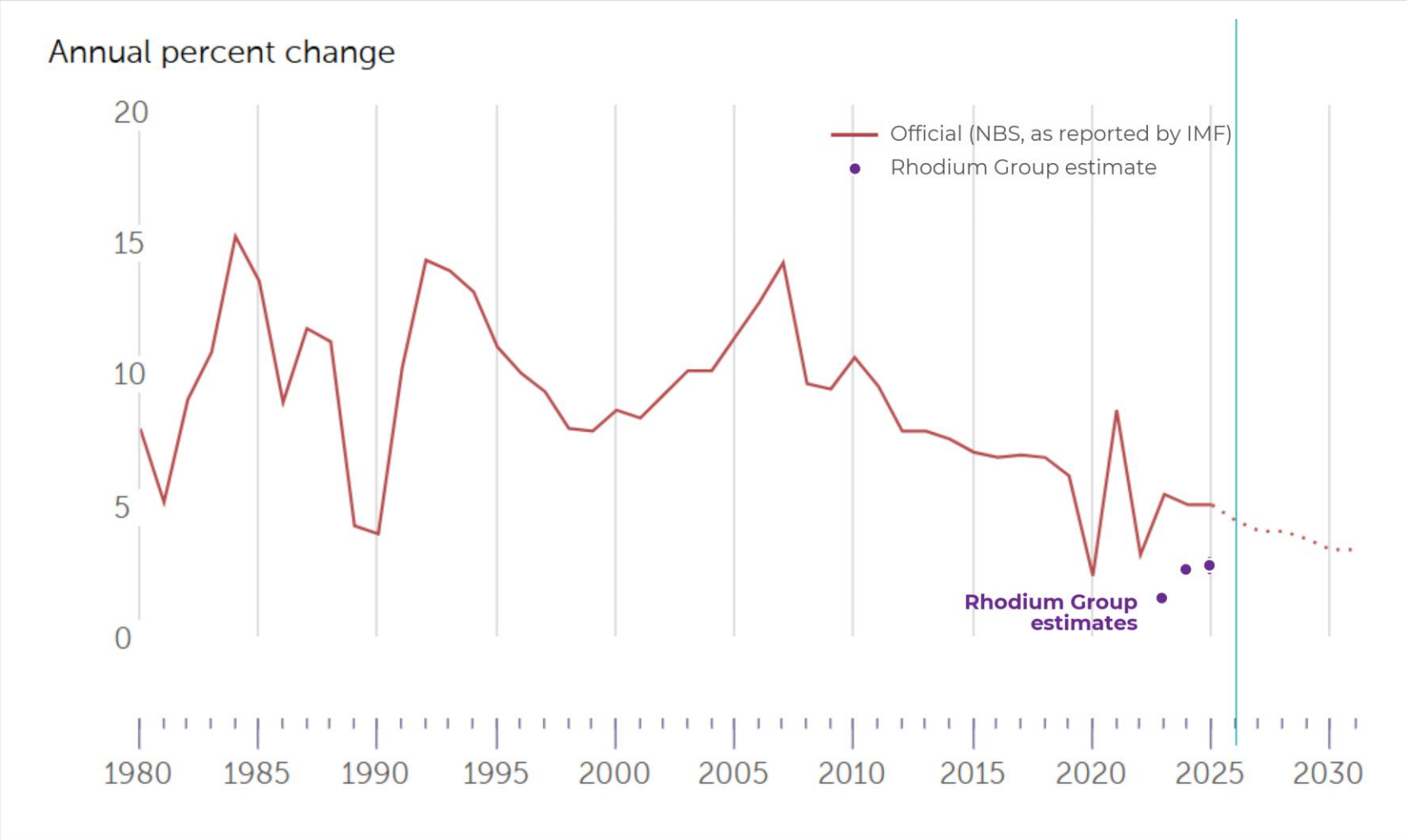
What’s interesting is not simply that the commentary has become more negative, but how the argument itself has changed: from slowdown, to structural imbalance, to questioning whether technology can compensate for weakness in the broader economy, and finally to the idea that China’s domestic problems are increasingly being exported to the rest of the world.

> “What’s interesting is not simply that the commentary has become more negative, but how the argument itself has changed: from slowdown, to structural imbalance, to questioning whether technology can compensate for weakness in the broader economy, and finally to the idea that China’s domestic problems are increasingly being exported to the rest of the world.
>
> **— Desmond Shum, September 13, 2026**

Source: Desmond Shum, “The China Debate Has Moved,” Substack, September 13, 2026

Growth still looks respectable. Why the gloom?

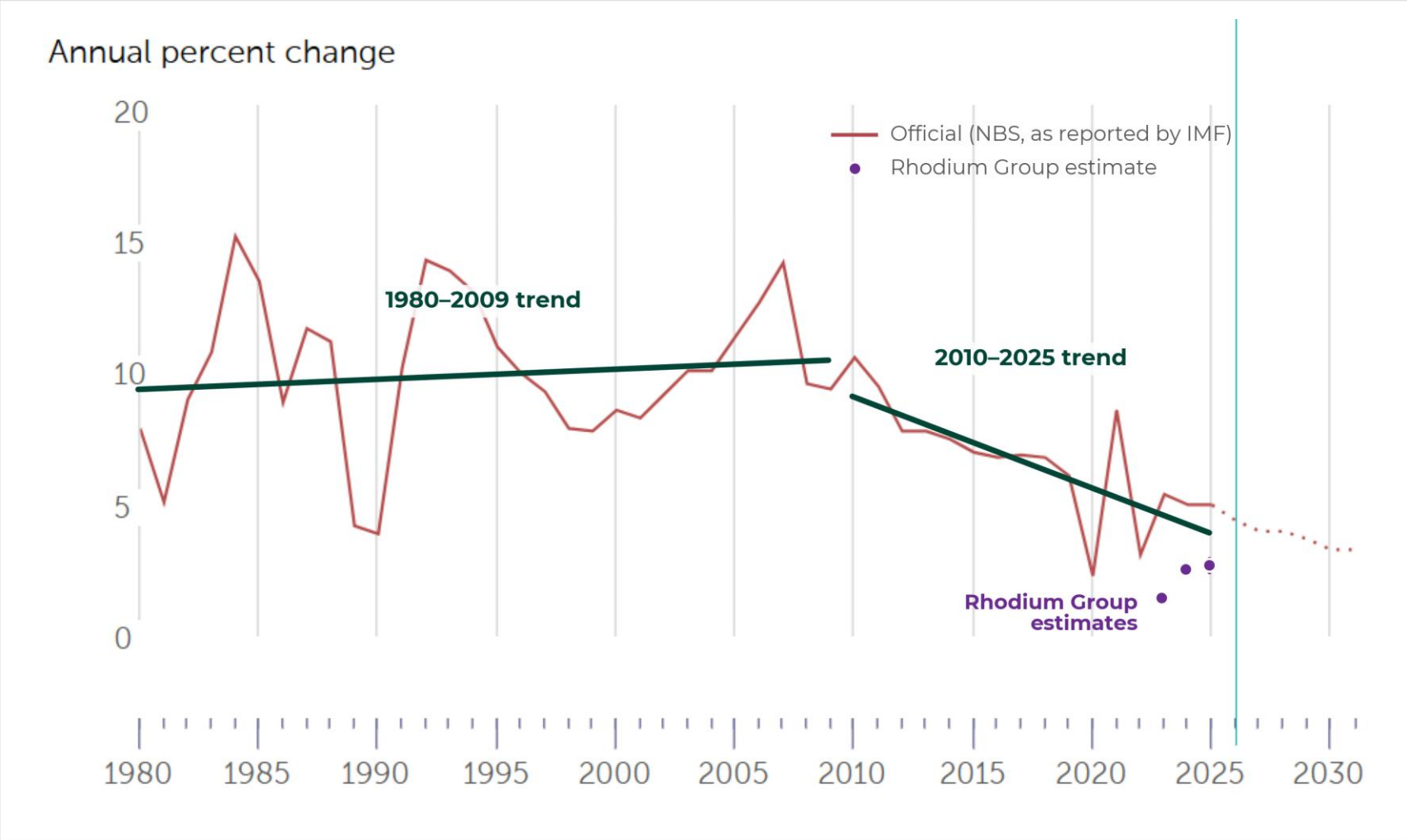
China’s real GDP growth (annual % change): official figures and Rhodium Group’s independent estimates



Sources: IMF World Economic Outlook (official NBS data; dotted line = IMF projection); Rhodium Group estimates: 2023 ~1.5%, 2024 2.4–2.8%, 2025 2.5–3.0%.

Growth still looks respectable. Why the gloom?

Growth held near 10% a year until 2010. Since then, the trend has fallen about a third of a point each year.



Sources: IMF World Economic Outlook (official NBS data; dotted line = IMF projection); Rhodium Group estimates: 2023 ~1.5%, 2024 2.4–2.8%, 2025 2.5–3.0%. Trends: linear fits.

One growth rate, two economies

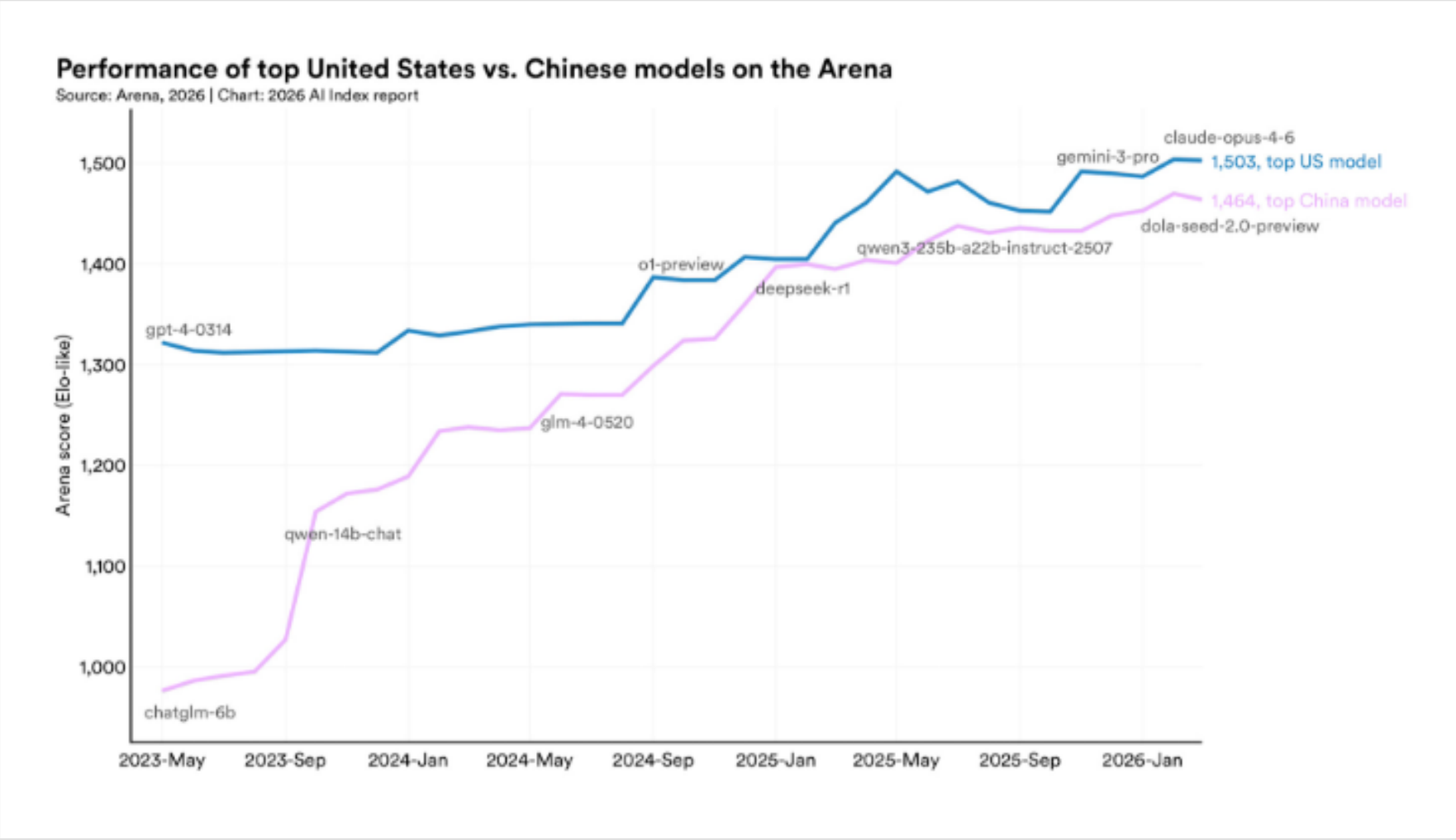
Reasons for positivity and optimism sit side-by-side with deep structural problems that give rise to negativity and pessimism





China is closing in on the AI frontier...

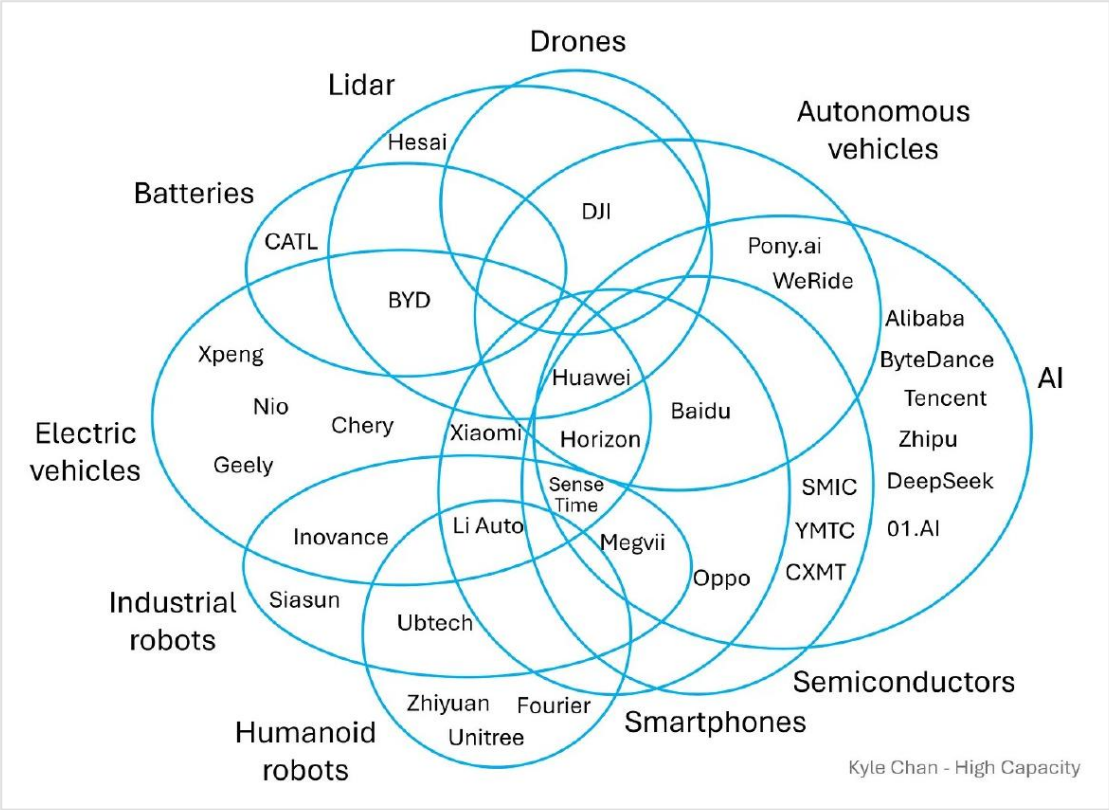
The gap between the best US and Chinese models has shrunk from about 350 Arena points in 2023 to 39 in March 2026

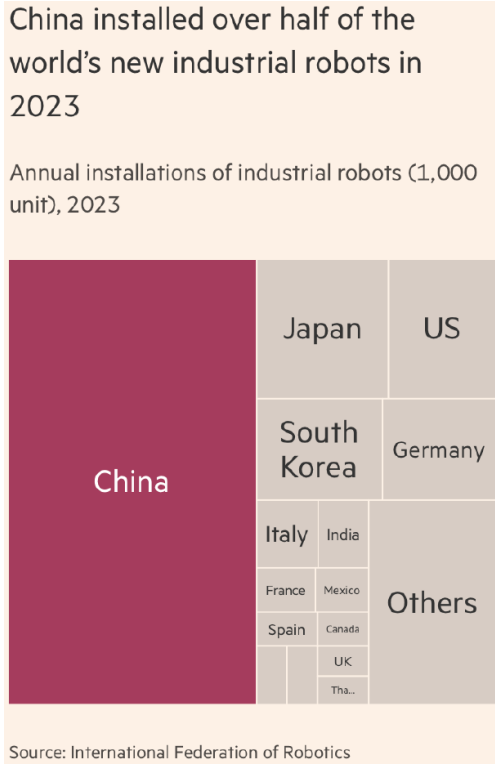


Source: Stanford HAI, 2026 AI Index Report (data: Arena)

...leads the new electro-industrial convergence...

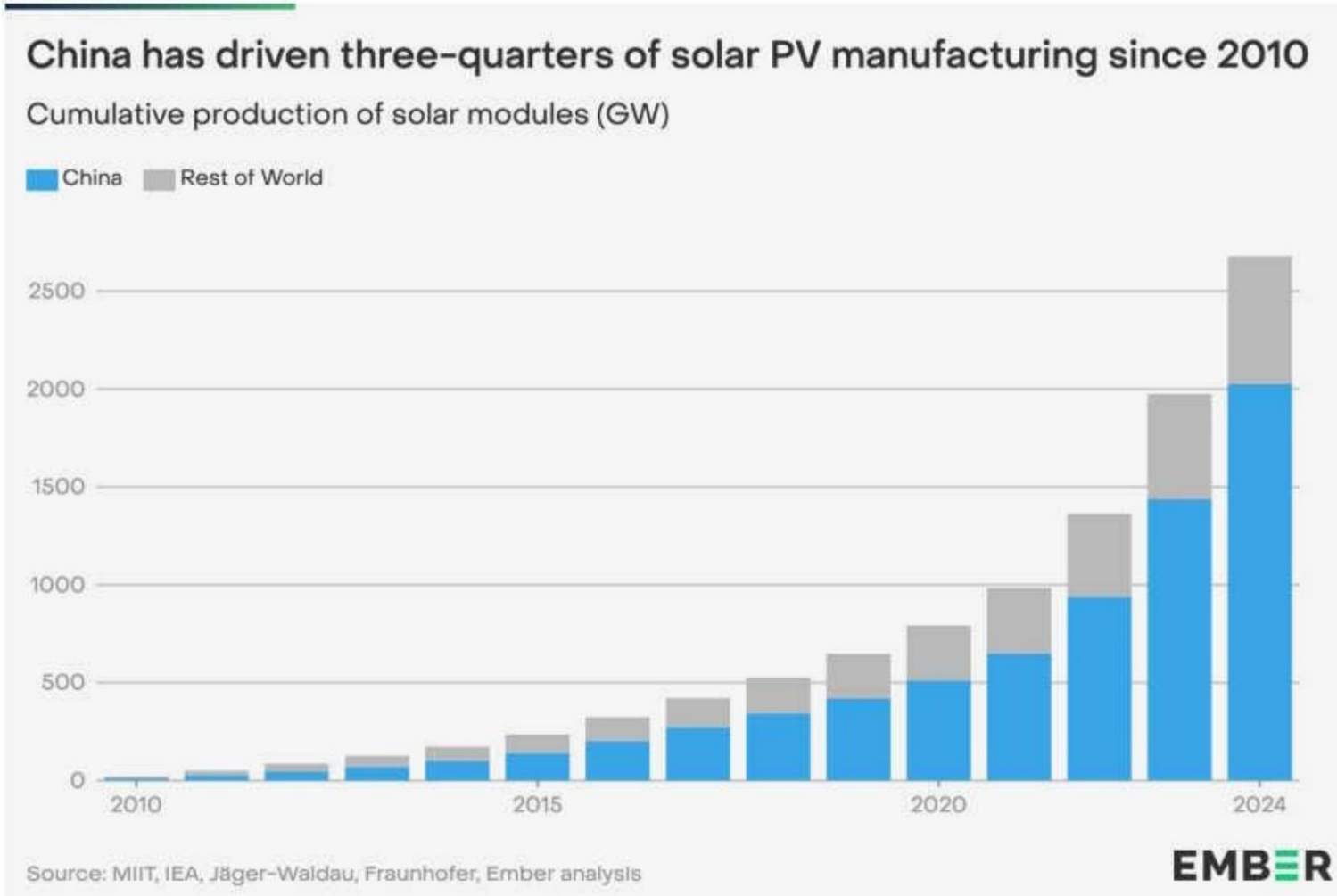
The same supply chains and production processes that allow you to make electronics give you the capabilities to make cars, drones, motorcycles, robots, appliances, and a bunch of other products.





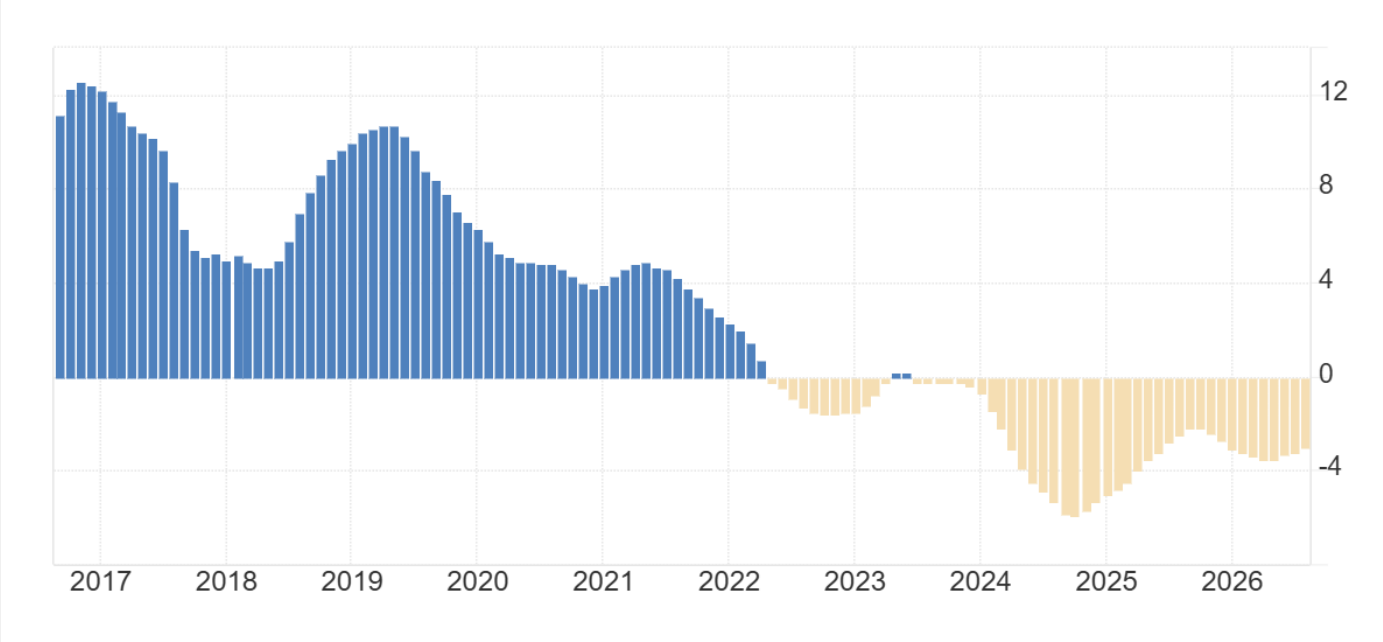
Electric tech products interface with software more easily than did old combustion-engine or analog technologies. They are where hardware and software (and increasingly AI) meet.

...and dominates the green energy revolution.



But property has collapsed...

New home prices have fallen for over three years. Property investment fell 17% in 2025, and new construction starts are down about 70% since 2021.



New home prices, 70 cities (% change, year on year)



Apartment blocks under construction

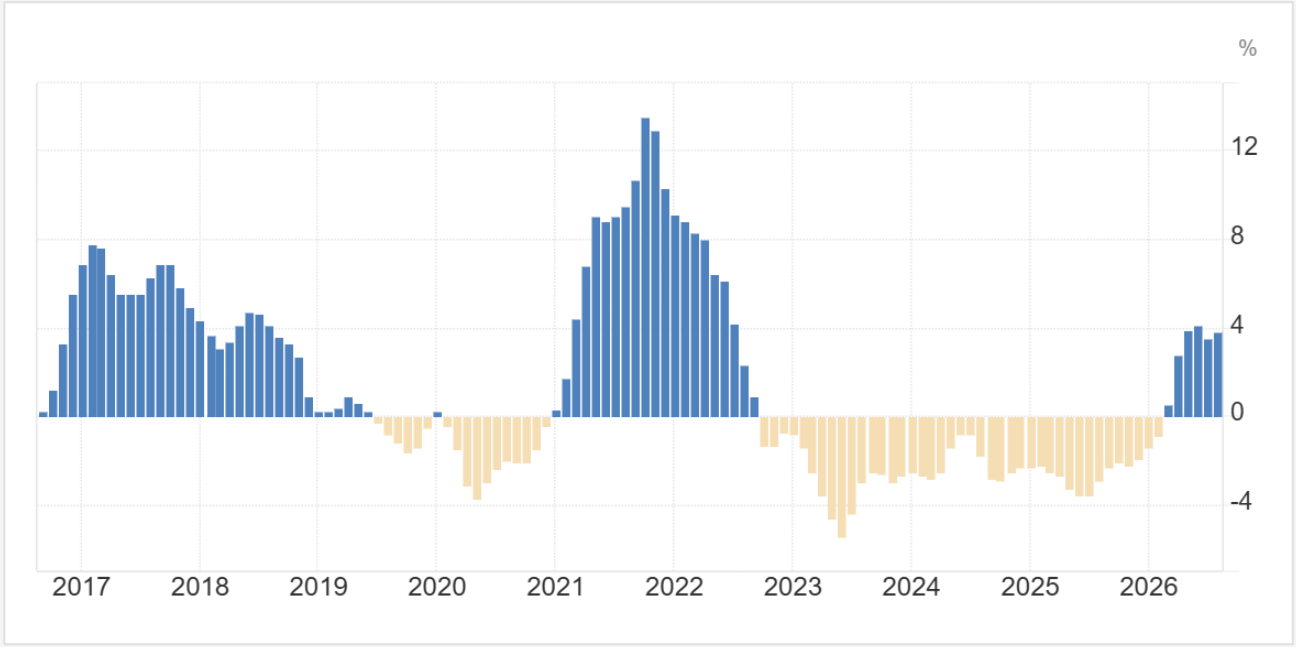
Chart: Trading Economics, from National Bureau of Statistics of China data

…output is outrunning demand…

Factory-gate prices fell for more than three years as firms cut prices to keep selling. The 2026 rebound is driven mainly by oil.



An EV “graveyard”: unused electric cars left in a lot



Producer (factory-gate) prices, % change year on year

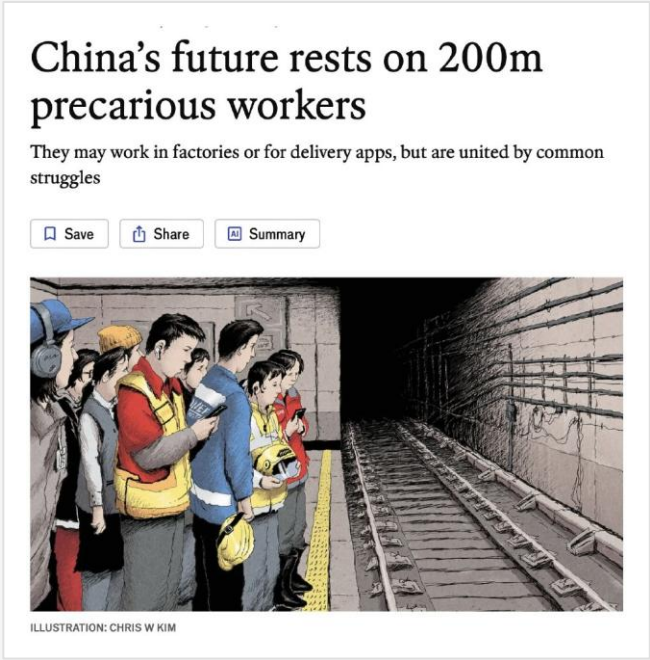
Chart: Trading Economics, from National Bureau of Statistics of China data

…and households are nervous.

Consumer confidence collapsed in 2022 and has not recovered. Around 200 million “flexible workers” live precariously, and youth unemployment is near 19%.



Composite consumer confidence, China, 1990–2026

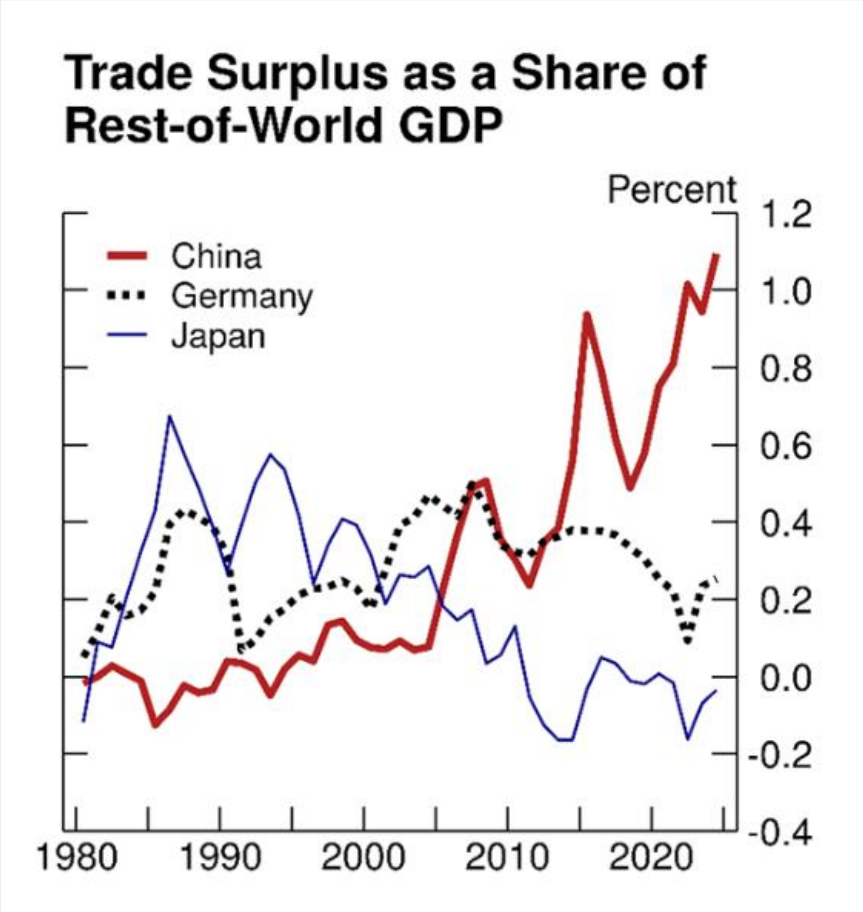


The Economist, September 2025

Sources: FRED, Federal Reserve Bank of St. Louis (OECD consumer opinion surveys); The Economist, September 2025

China’s problems are the world’s problem

China’s trade surplus is now over 1% of the rest of the world’s GDP, about twice the peak of the first “China shock.”



China now far exceeds Germany and Japan at their peaks

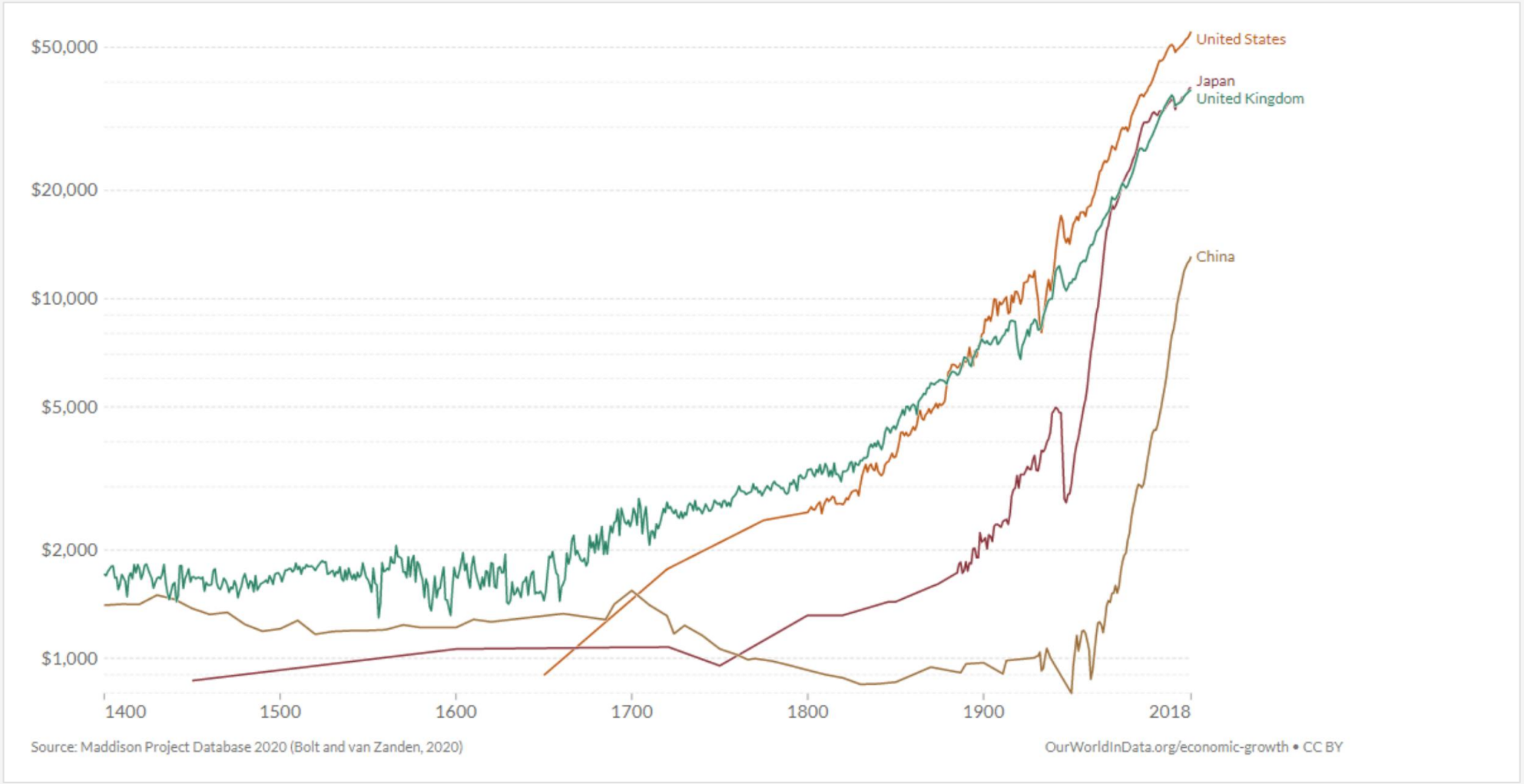


Foreign Affairs, September/October 2026

Sources: Federal Reserve Board, FEDS Notes, “China Shock 2.0” (May 2026); Michael Froman, Foreign Affairs (August 13, 2026)

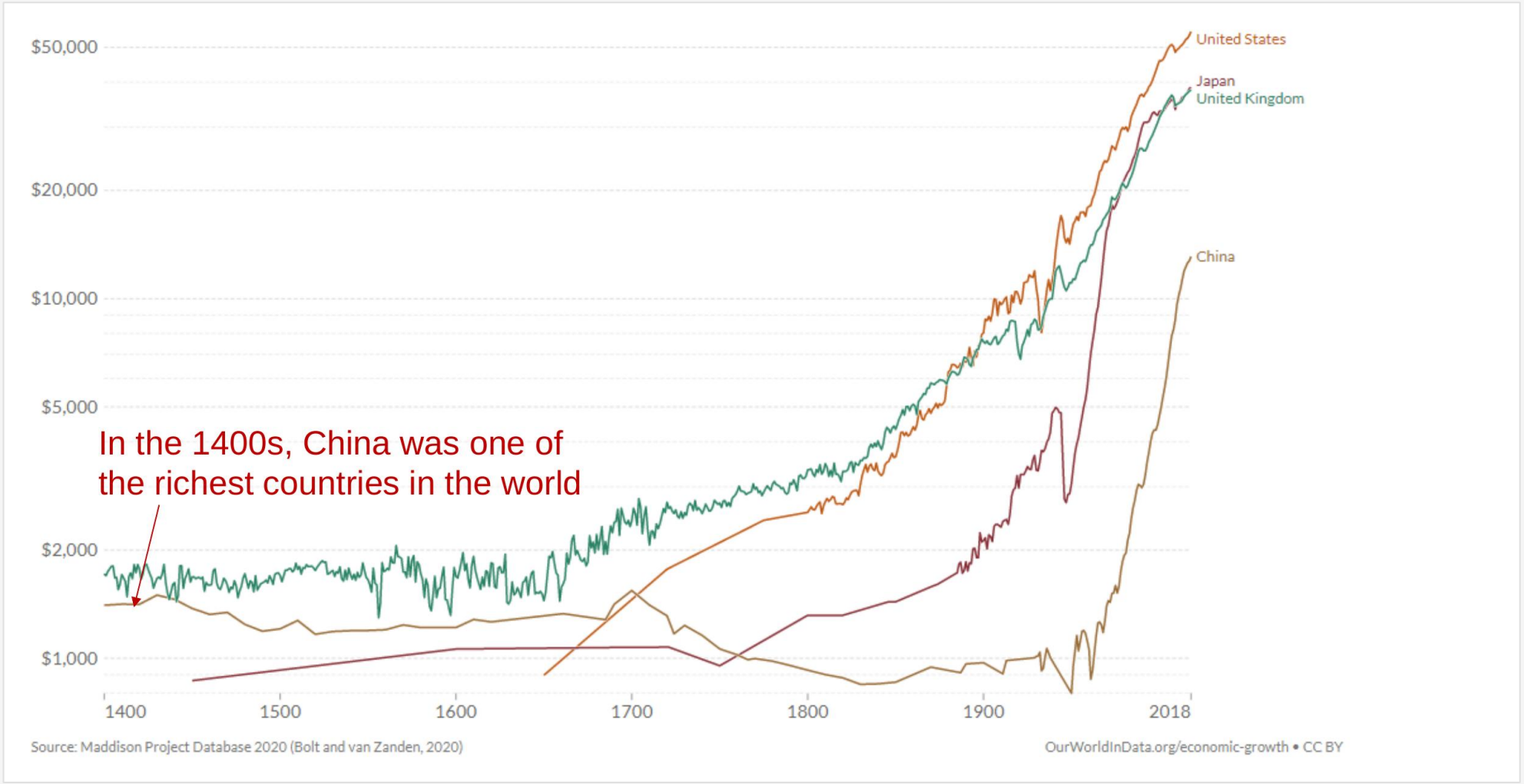
China in comparative economic history

Per-Capita GDP from 1400-2018 (log scale)



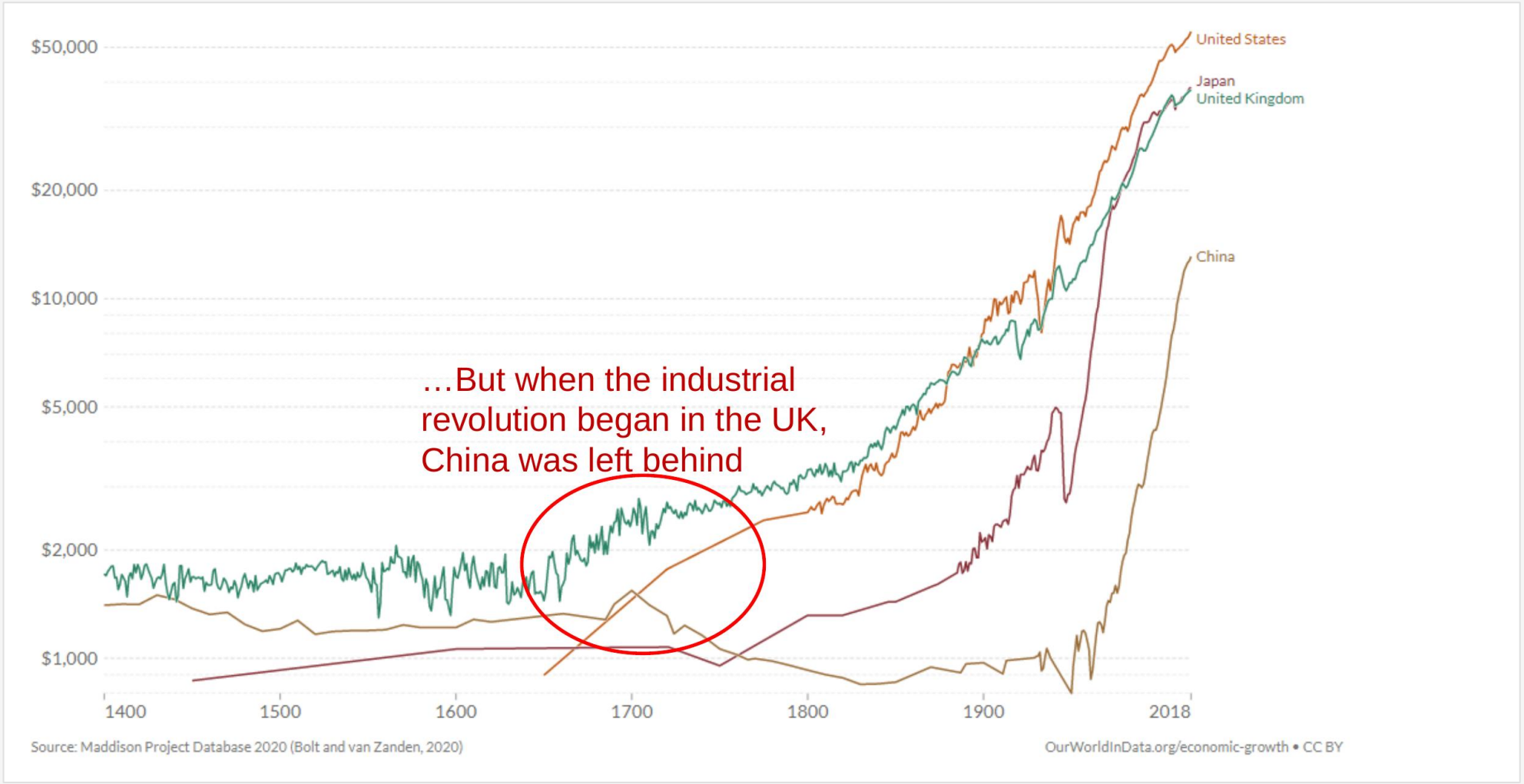
China in comparative economic history

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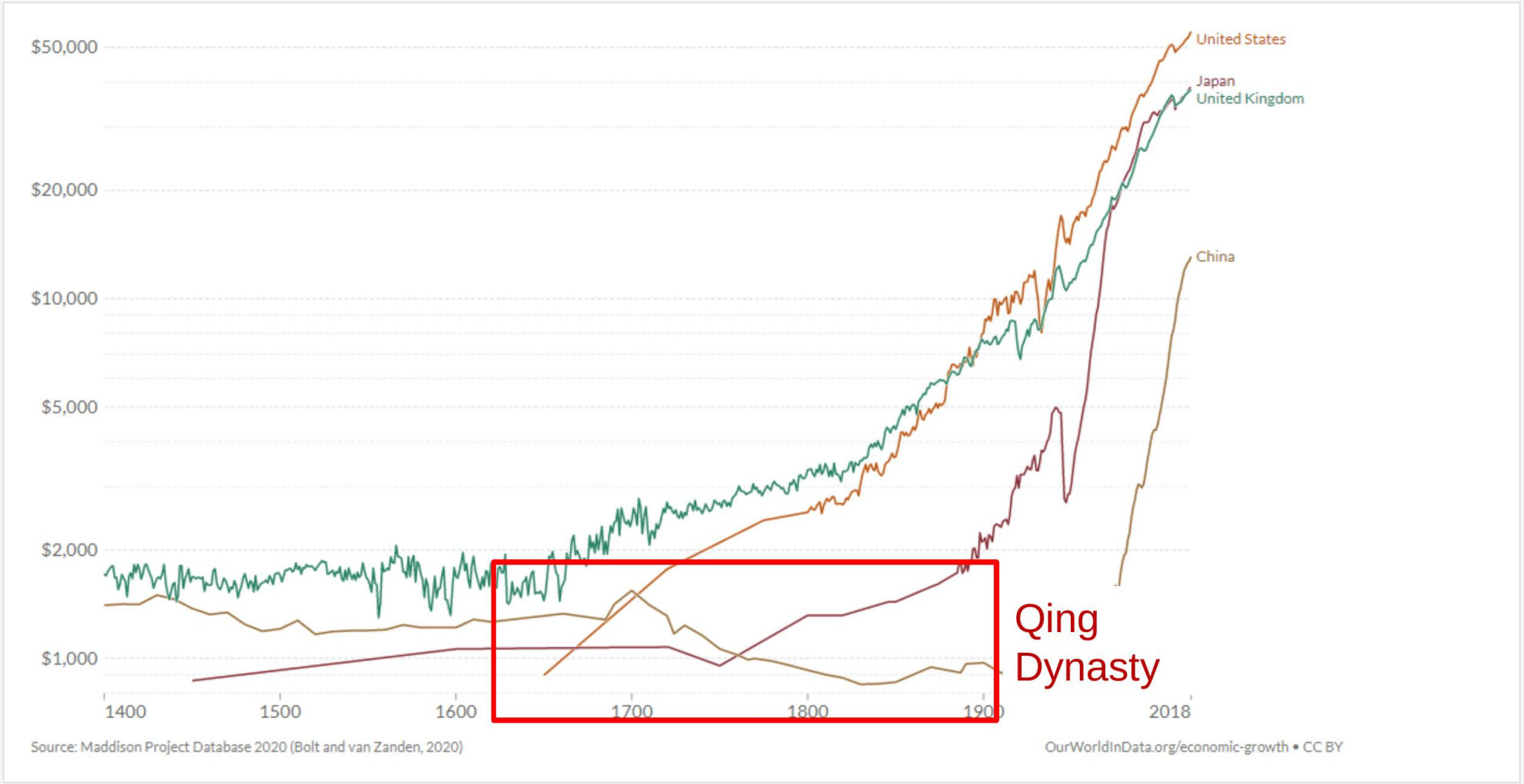
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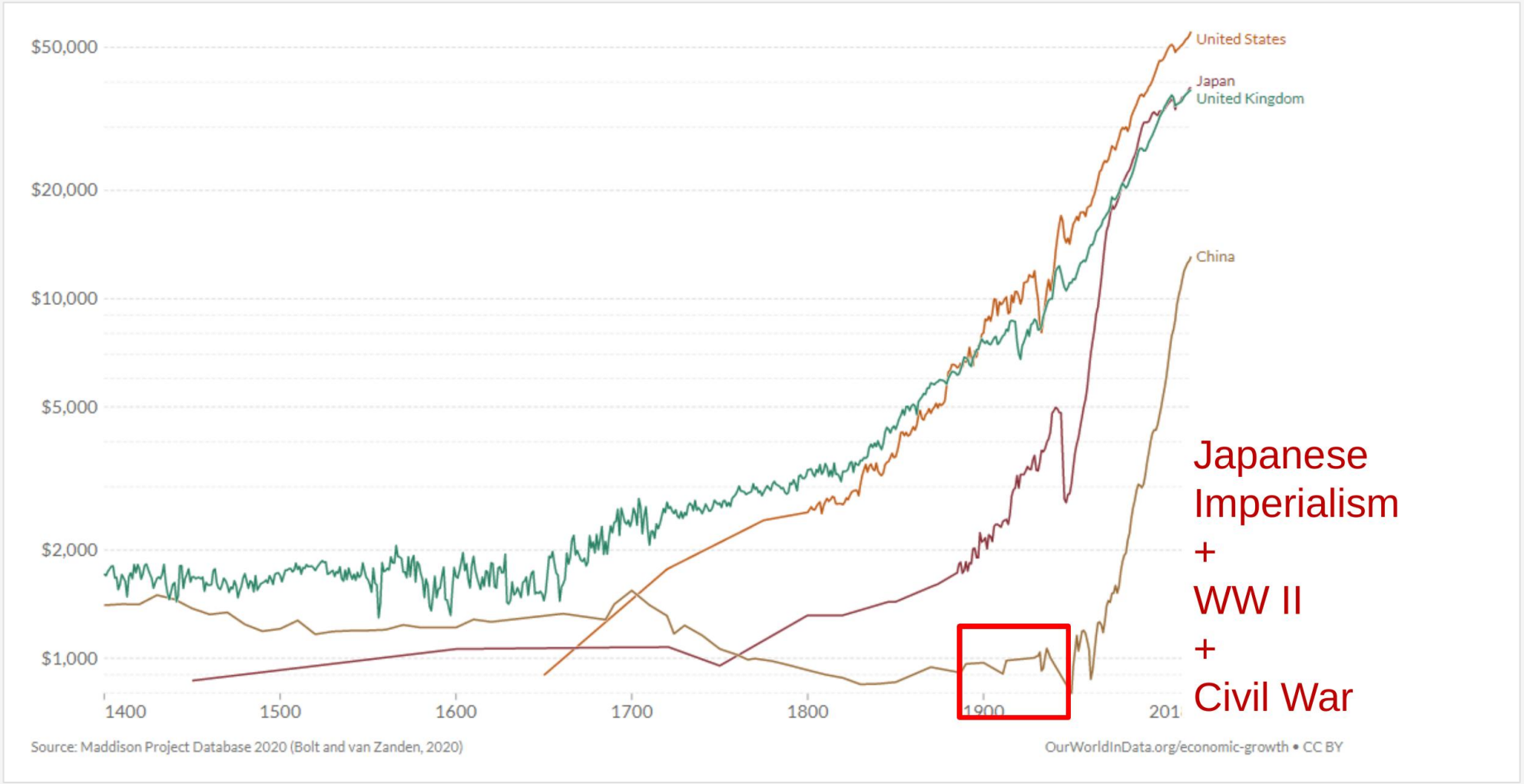
China in comparative economic history

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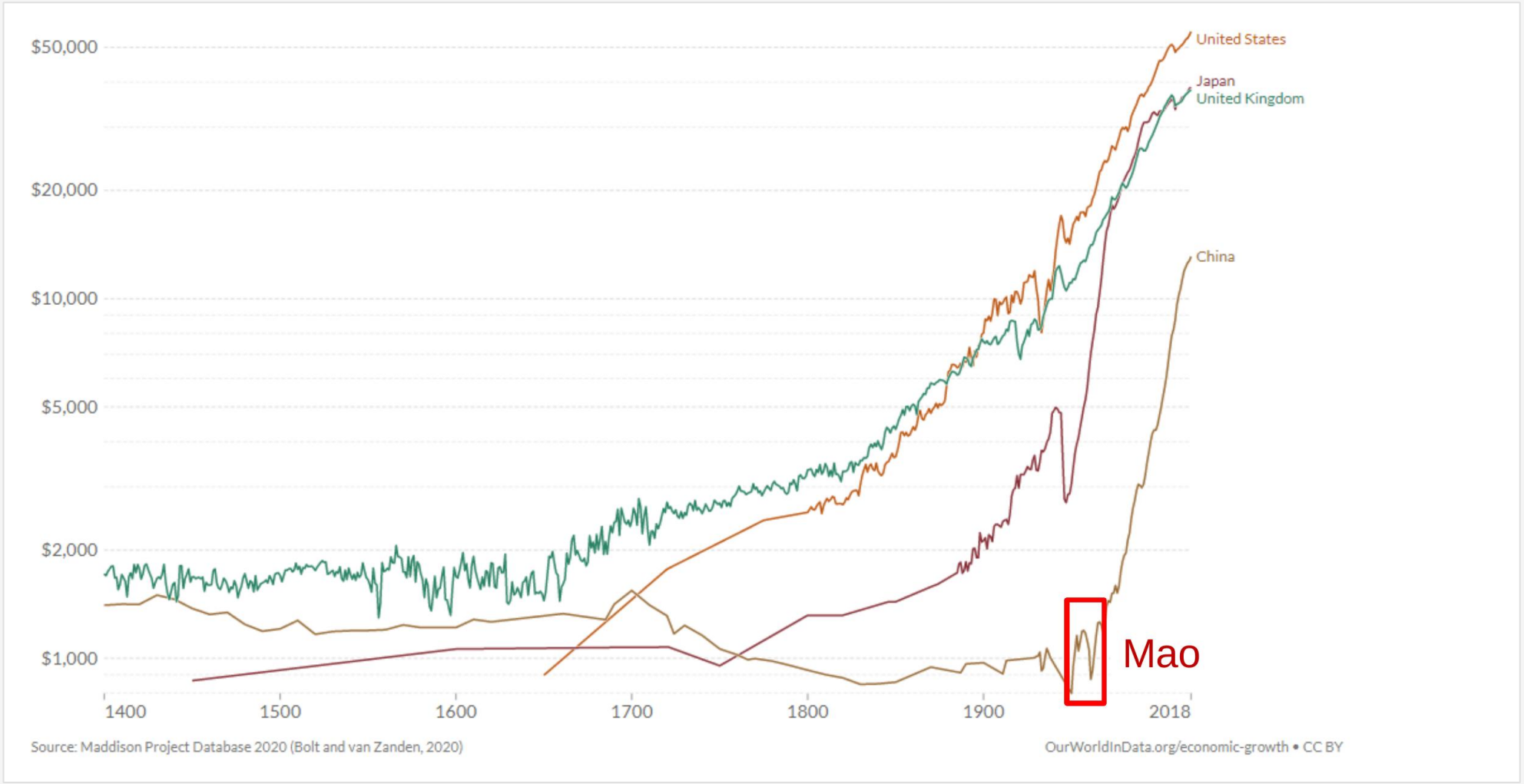
China in comparative economic history

Per-Capita GDP from 1400-2018 (log scale)



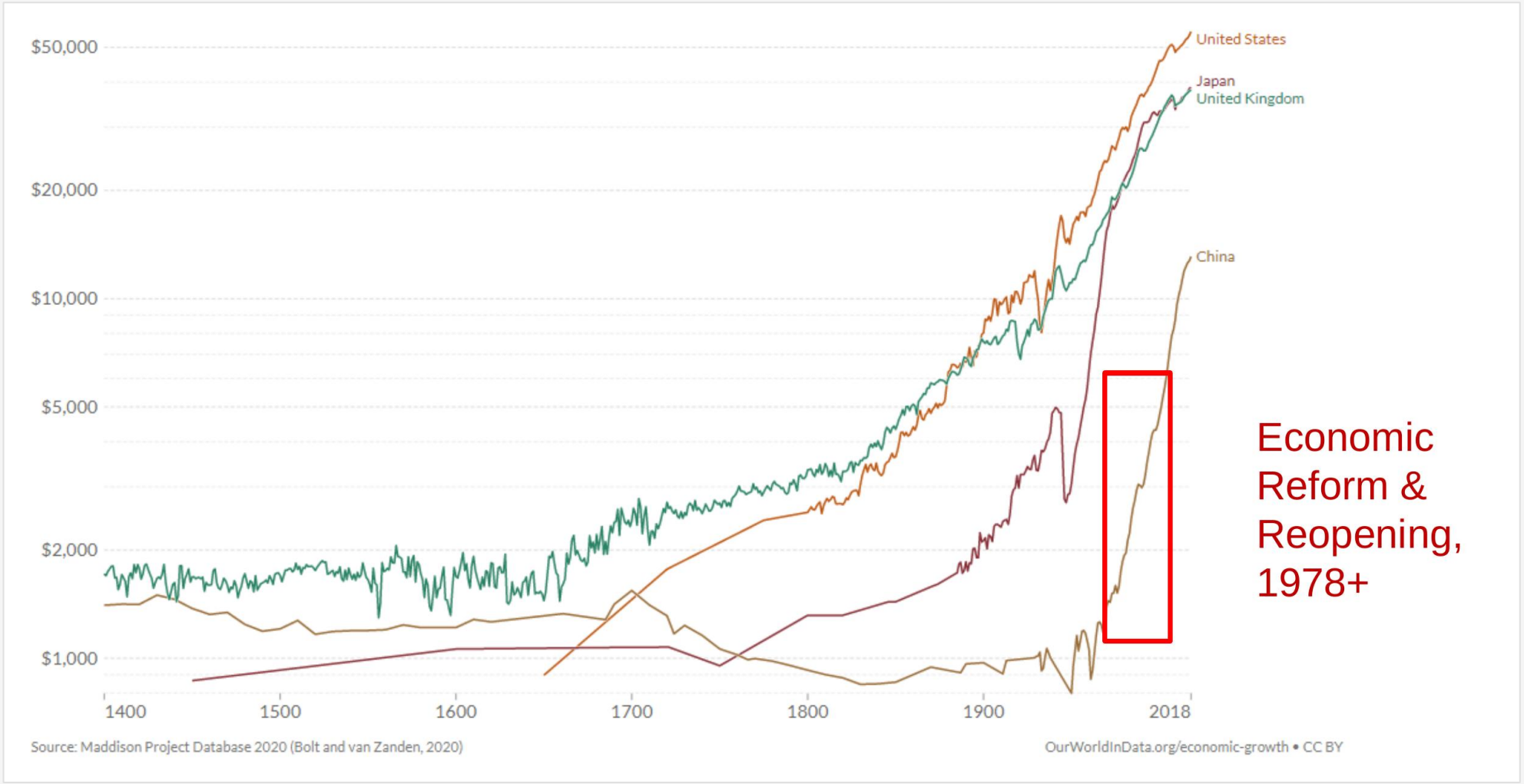
China in comparative economic history

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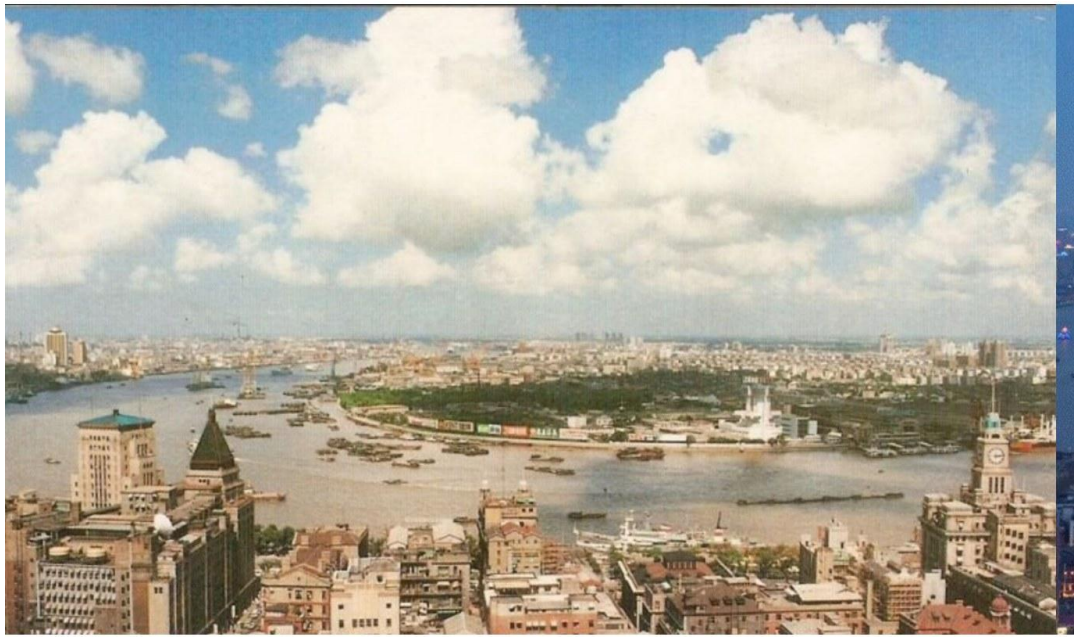


China in comparative economic history

Per-Capita GDP from 1400-2018 (log scale)



Shanghai in two different eras



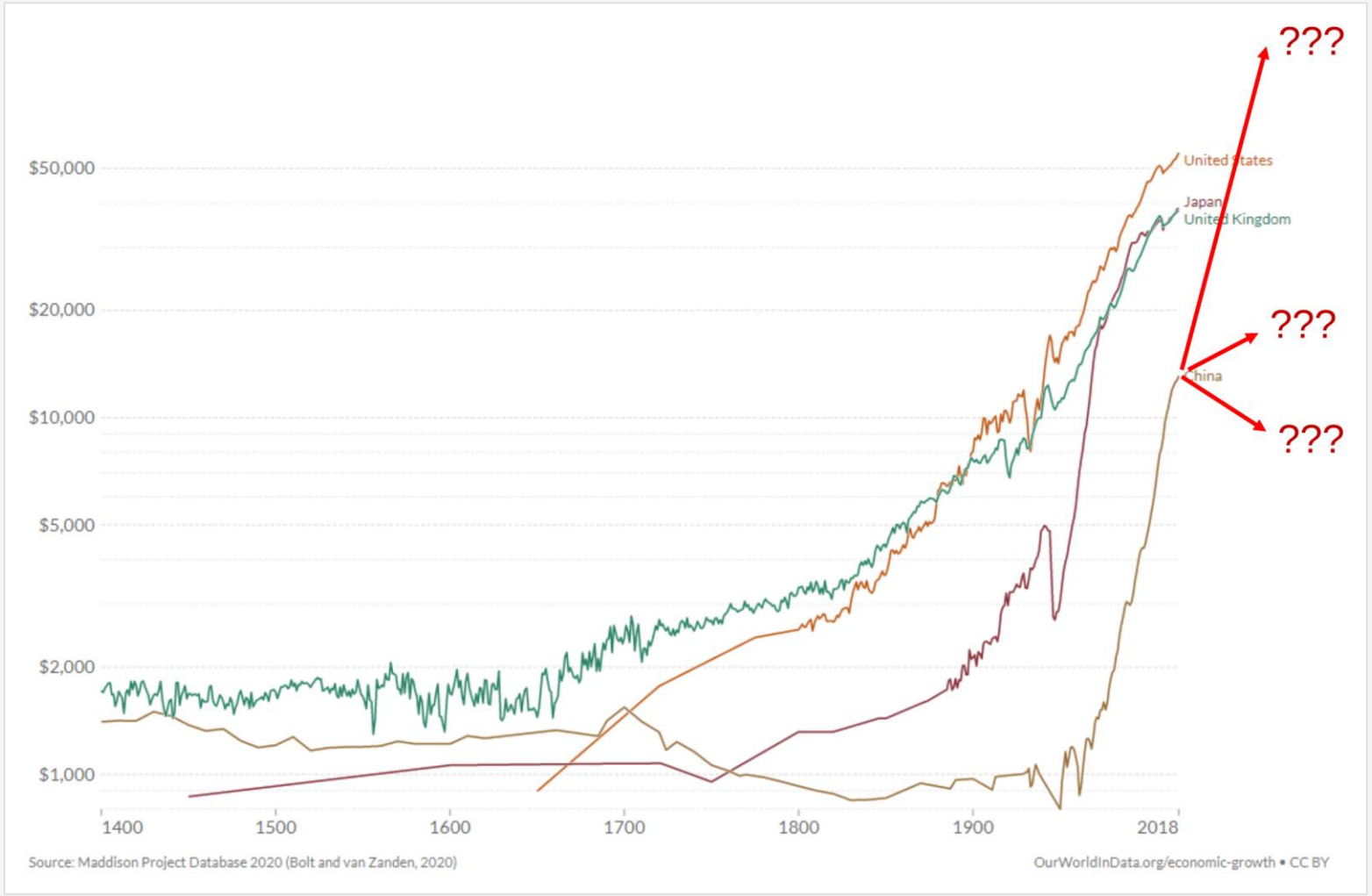
Shanghai in 1990



Shanghai in 2010

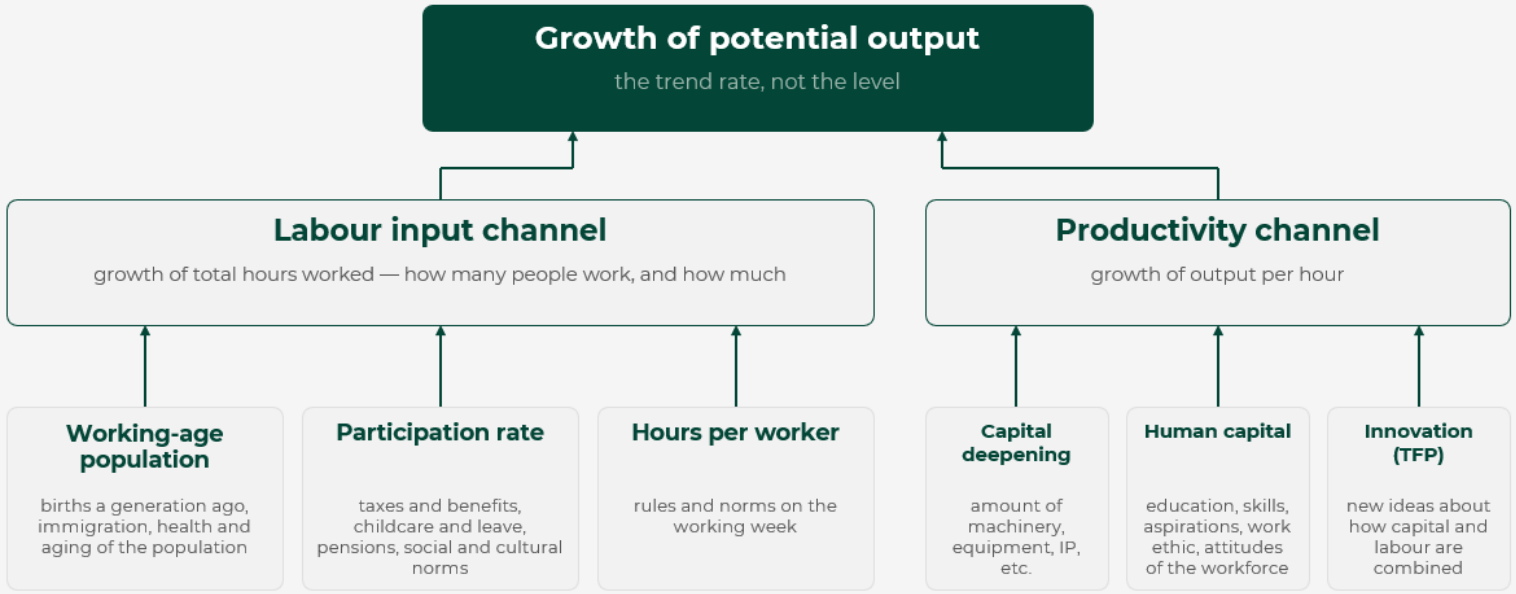
Today's question: Wither China's economy?

Per-Capita GDP from 1400-2018 (log scale)



BUZZ GROUPS

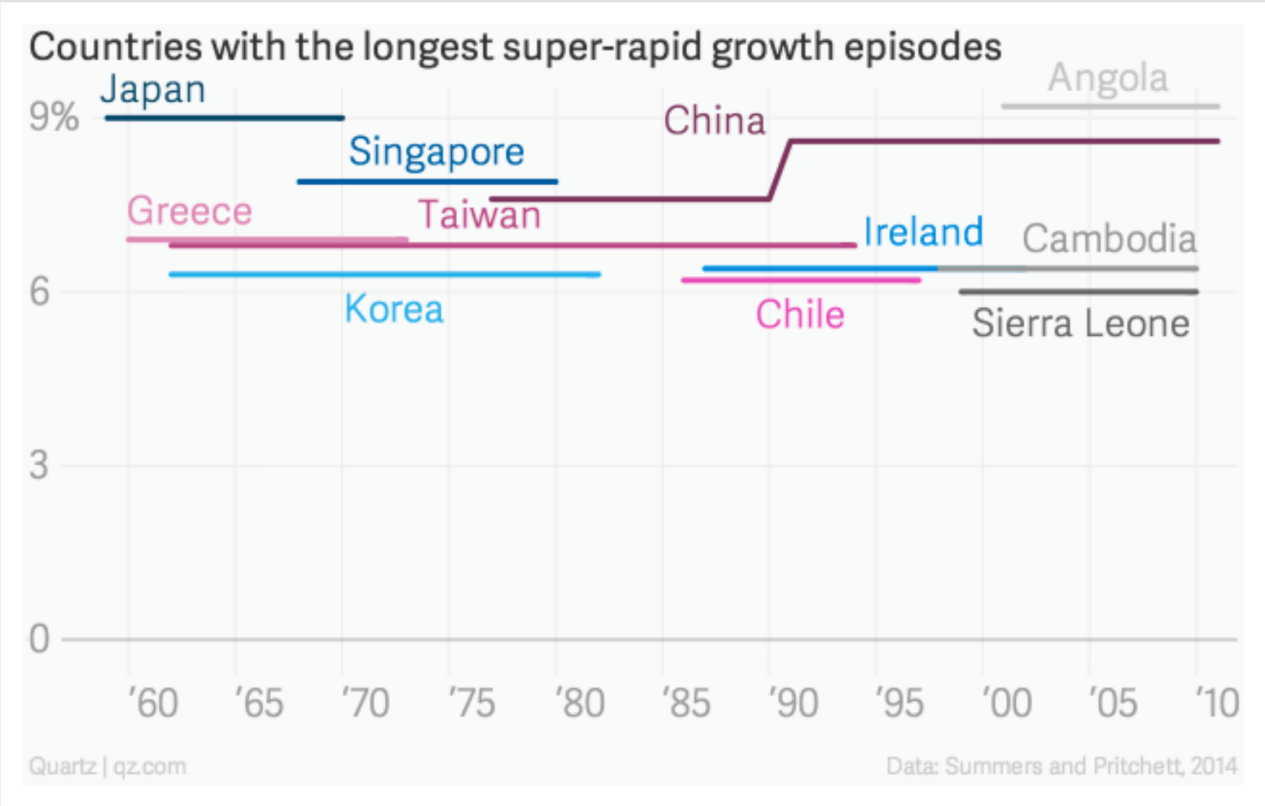
Will China be able to sustain growth rates of 2-3x the west (AEs) over the next decade+?



1 Develop a **"Likely, yes"** list. Rank order your reasons.

2 Develop a **"Doubt it"** list. Rank order your reasons.

China: A super duper global historical outlier?



> If it is possible to infer anything from past patterns of growth around the world, it is that economies suffer from "regression to the mean": growth rates in countries that have been growing fast tend to drop, often sharply, toward the long-run global average (of about 2% growth per year in real GDP per person)

— The Economist, Oct 2014

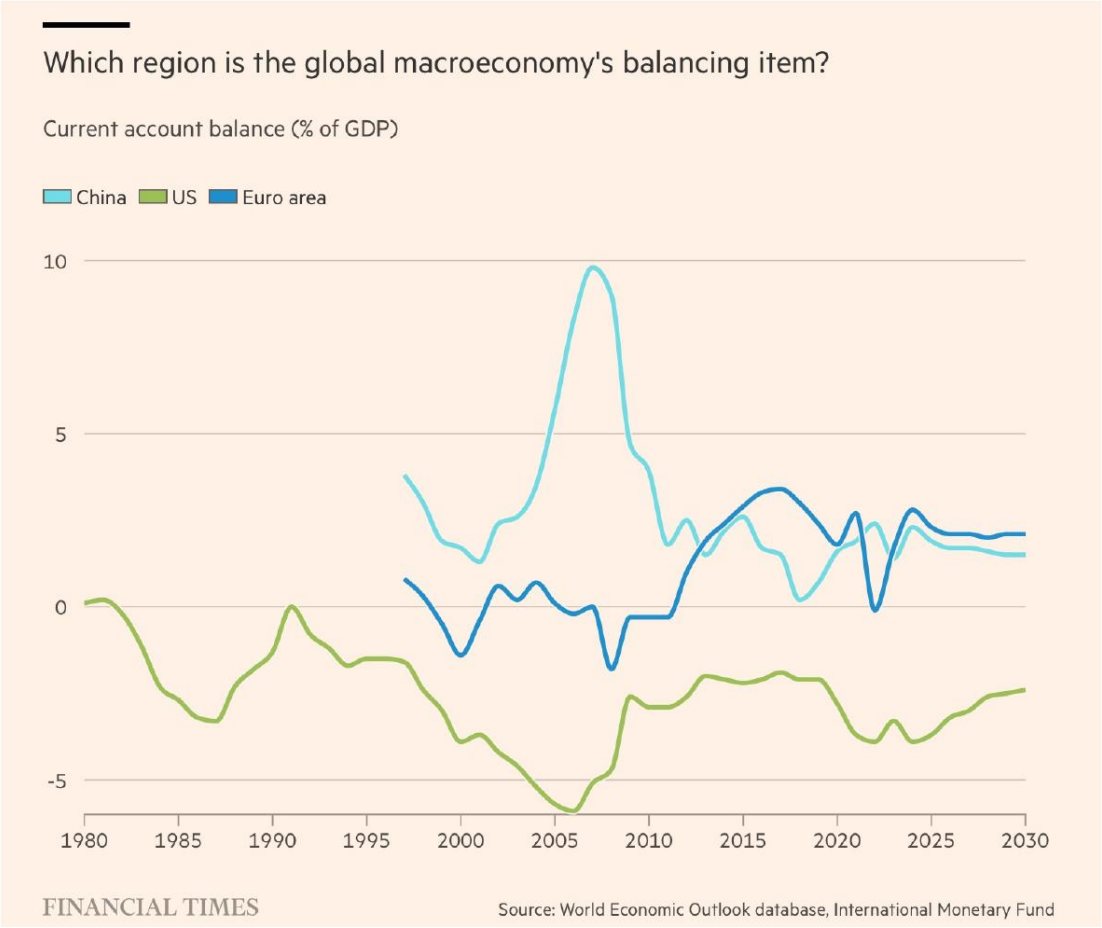
What ails China? Not just one thing.

There are a number of different, but partially overlapping views on why China has experienced a growth slowdown – and why it is likely to continue. "Peak China" is a mash-up of these views.

1. **Imbalance:** households get a small share of income; consumption only ~40% of GDP
   - **Hidden transfers:** low deposit rates, hukou, cheap land and a thin safety net shift income to producers
2. **Distortion:** investment-led growth now earns ever-lower returns
   - **Property implosion:** home prices down for 3+ years; new starts −70% since 2021; land-sale revenue −65%
   - **High debt:** ~300% of GDP, much of it hidden local-government debt; bad loans are rolled over
   - **Involution:** overcapacity and price wars; factory-gate prices fell for over three years
3. **Demographics:** population falling for four years; 7.9m births in 2025, fertility near 1.0
4. **Global backlash:** a record $1.2tn trade surplus is meeting tariffs and trade defences
5. **Politics & confidence:** more state control, less predictability; youth jobless ~19%

If China won’t consume its output, someone else must

In the FT: Michael Pettis on how China’s growth model creates international frictions and an inevitable backlash



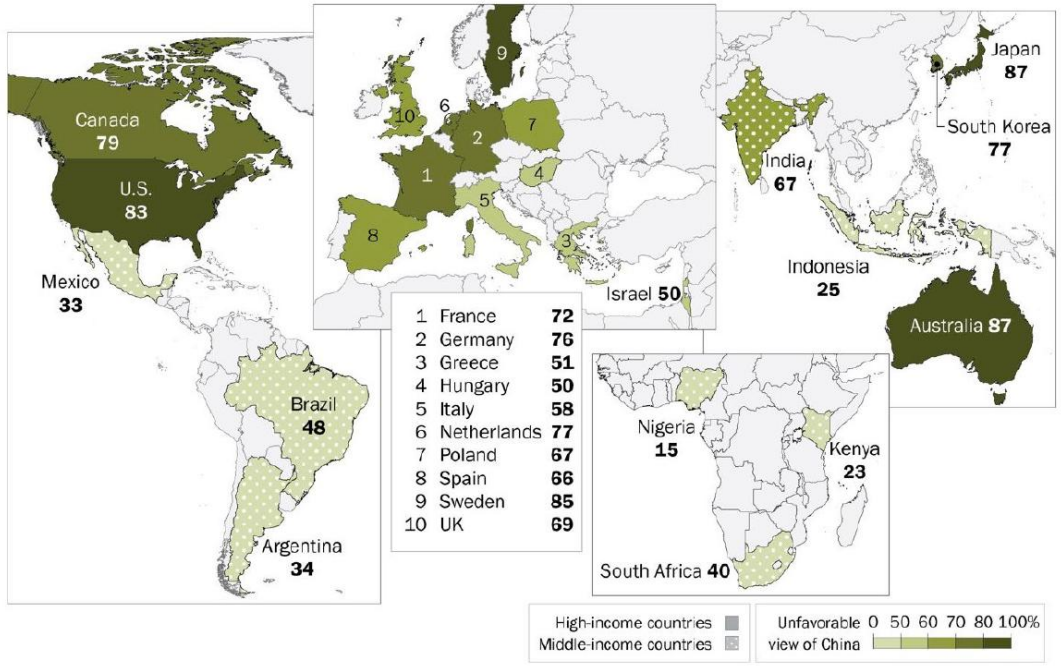
> if the structure of my economy requires that my production grow faster than my consumption and **we trade openly among each other**, then you have no choice but for your consumption to grow faster than your production
>
> **— Michael Pettis**

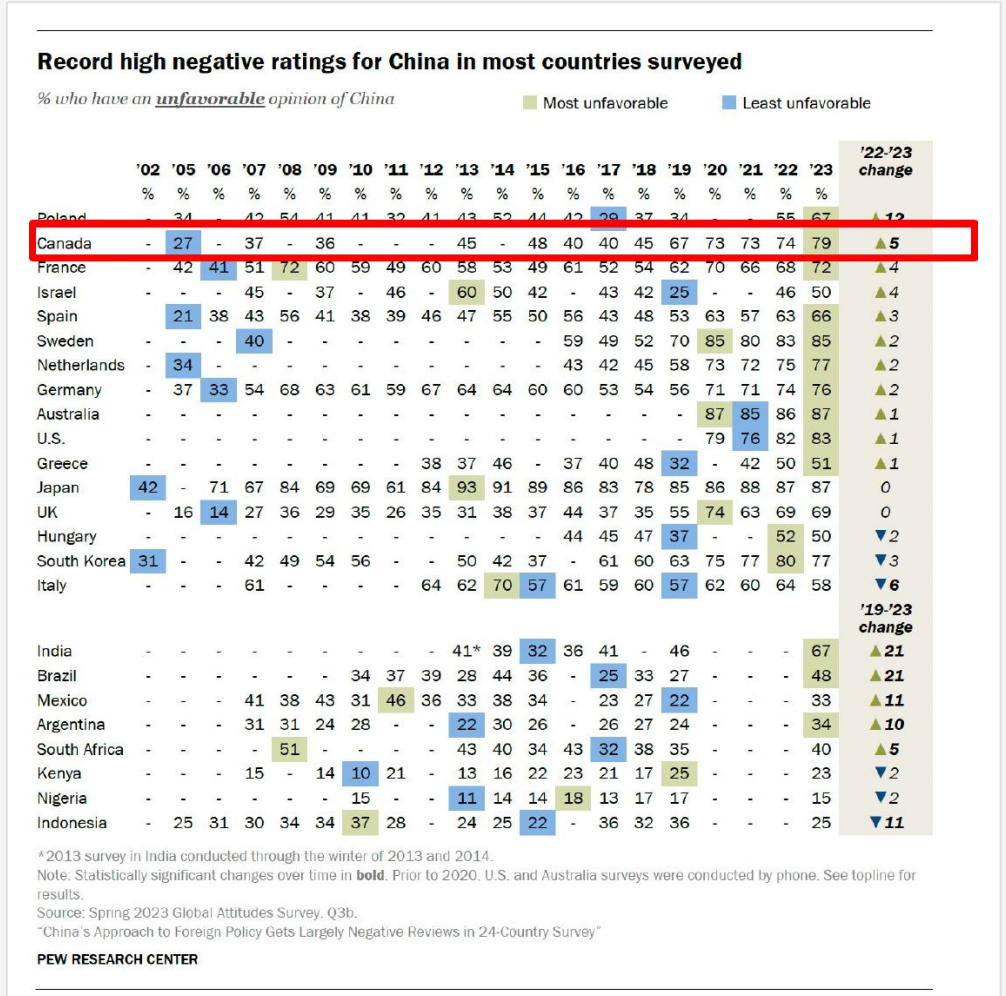
Some positive-on-China growth points

1. Lots of catch-up room still: GDP per capita only ~US$13,800, about a third of US levels (PPP)
2. At the frontier in key sectors of the future: green energy, electro-industrial stack, AI (top models within ~3% of US)
3. Unparalleled ability to manufacture at scale (dominance of global supply chains, rare-earth leverage)
4. Massive domestic market with demands that echo/foreshadow global needs (EVs, drones)
5. Human capital development a long-term tailwind: 1.4m STEM grads/year + hard working and entrepreneurial citizens
6. Government has many levers & resources to change economic direction – command and control has its advantages for rapid, large-scale mobilization
7. Beijing has pivoted from punishing private firms to courting them (2025 Private Economy Promotion Law)
8. Consumption is now an official priority (first dedicated consumption plan, July 2026), and deflation is easing

A question that seems important to ask

Do we (“the west”) actually ***want*** China to grow quickly and catch up to our level of prosperity?





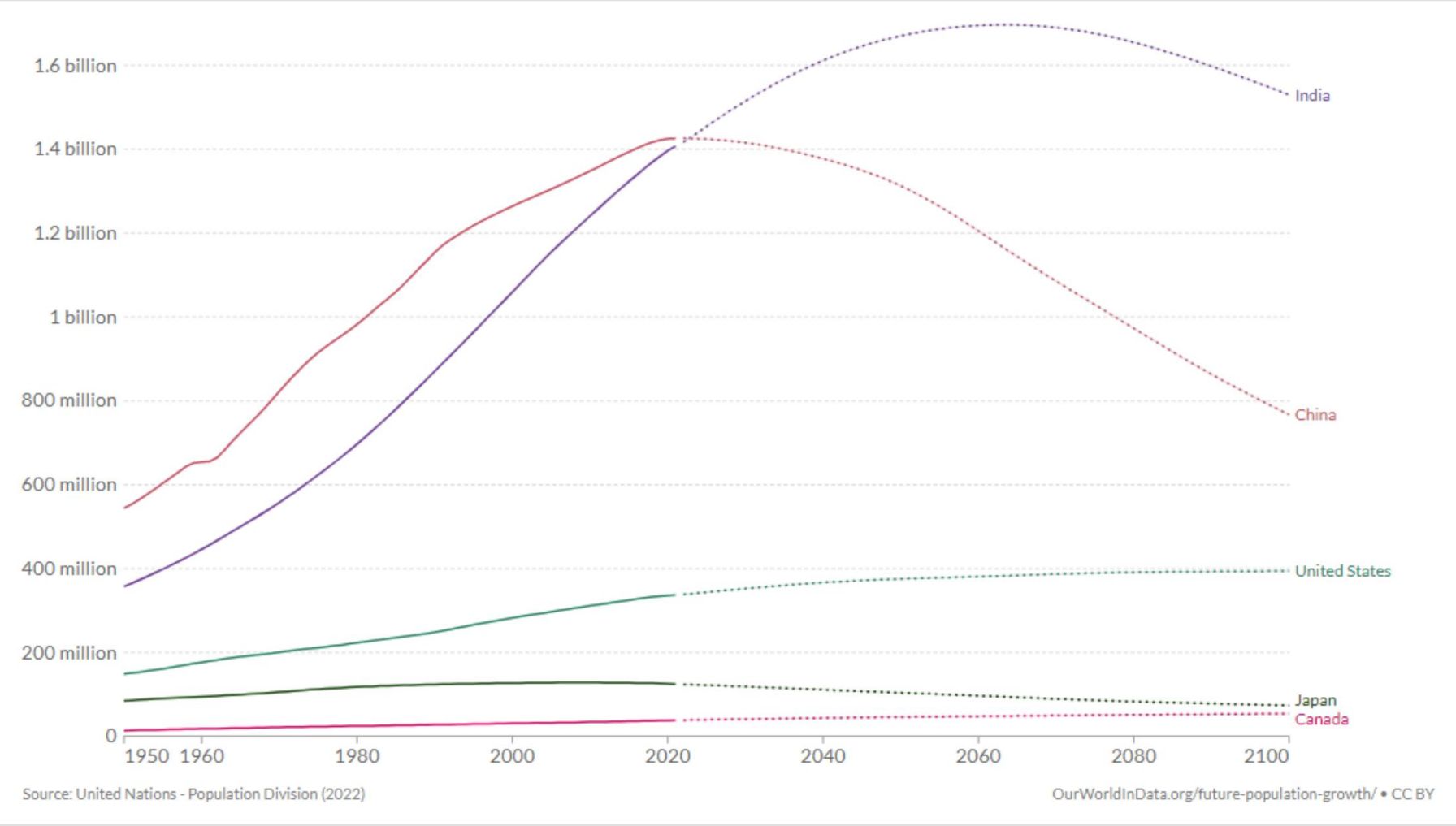
	'02 %	'05 %	'06 %	'07 %	'08 %	'09 %	'10 %	'11 %	'12 %	'13 %	'14 %	'15 %	'16 %	'17 %	'18 %	'19 %	'20 %	'21 %	'22 %	'23 %	'22-'23 change
Poland	-	34	-	42	54	41	41	32	41	43	52	44	42	29	37	34	-	-	55	67	▲12
Canada	-	27	-	37	-	36	-	-	-	45	-	48	40	40	45	67	73	73	74	79	▲5
France	-	42	41	51	72	60	59	49	60	58	53	49	61	52	54	62	70	66	68	72	▲4
Israel	-	-	-	45	-	37	-	46	-	60	50	42	-	43	42	25	-	-	46	50	▲4
Spain		21	38	43	56	41	38	39	46	47	55	50	56	43	48	53	63	57	63	66	▲3
Sweden	-	-	-	40	-	-	-	-	-	-	-	-	59	49	52	70	85	80	83	85	▲2
Netherlands	-	34	-	-	-	-	-	-	-	-	-	-	43	42	45	58	73	72	75	77	▲2
Germany	-	37	33	54	68	63	61	59	67	64	64	60	60	53	54	56	71	71	74	76	▲2
Australia	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	87	85	86	87	▲1
U.S.	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	79	76	82	83	▲1
Greece	-	-	-	-	-	-	-	-	38	37	46	-	37	40	48	32	-	42	50	51	▲1
Japan	42	-	71	67	84	69	69	61	84	93	91	89	86	83	78	85	86	88	87	87	0
UK	-	16	14	27	36	29	35	26	35	31	38	37	44	37	35	55	74	63	69	69	0
Hungary	-	-	-	-	-	-	-	-	-	-	-	-	44	45	47	37	-	-	52	50	▼2
South Korea	31	-	-	42	49	54	56	-	-	50	42	37	-	61	60	63	75	77	80	77	▼3
Italy	-	-	-	61	-	-	-	-	64	62	70	57	61	59	60	57	62	60	64	58	▼6
																					'19-'23 change
India	-	-	-	-	-	-	-	-	-	41*	39	32	36	41	-	46	-	-	-	67	▲21
Brazil	-	-	-	-	-	-	34	37	39	28	44	36	-	25	33	27	-	-	-	48	▲21
Mexico	-	-	-	41	38	43	31	46	36	33	38	34	-	23	27	22	-	-	-	33	▲11
Argentina	-	-	-	31	31	24	28	-	-	22	30	26	-	26	27	24	-	-	-	34	▲10
South Africa	-	-	-	-	51	-	-	-	-	43	40	34	43	32	38	35	-	-	-	40	▲5
Kenya	-	-	-	15	-	14	10	21	-	13	16	22	23	21	17	25	-	-	-	23	▼2
Nigeria	-	-	-	-	-	-	15	-	-	11	14	14	18	13	17	17	-	-	-	15	▼2
Indonesia	-	25	31	30	34	34	37	28	-	24	25	22	-	36	32	36	-	-	-	25	▼11

*2013 survey in India conducted through the winter of 2013 and 2014.
Note: Statistically significant changes over time in **bold**. Prior to 2020, U.S. and Australia surveys were conducted by phone. See topline for results.
Source: Spring 2023 Global Attitudes Survey. Q3b.
“China’s Approach to Foreign Policy Gets Largely Negative Reviews in 24-Country Survey”
PEW RESEARCH CENTER

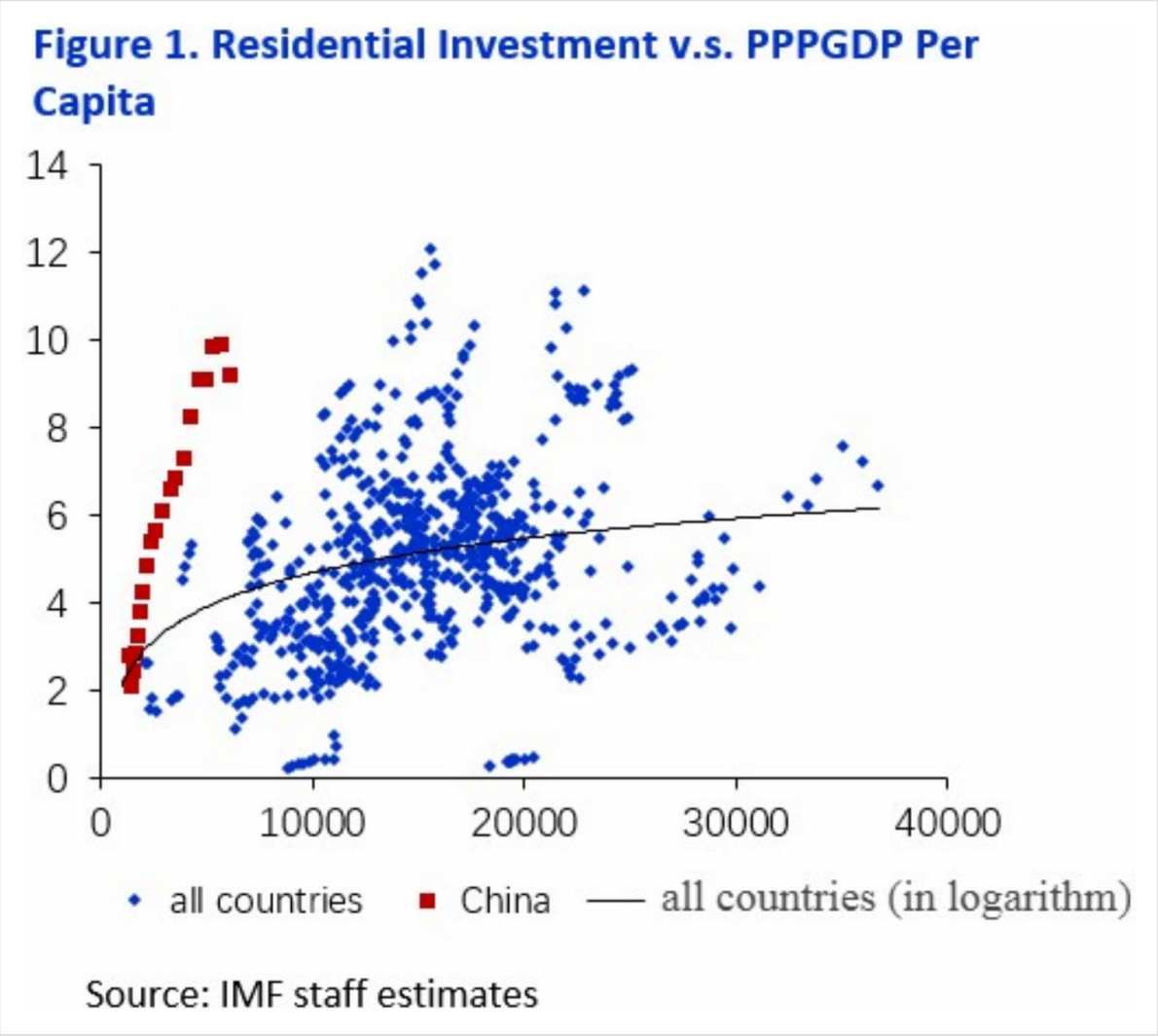
Appendix

China's population is peaking – right now

Population Projection by the UN, 1950-2100



China’s extreme residential investment



Distorted: the mal-investment hypothesis

GDP growth targets have been achieved by an ever-greater mountain of debt that has been used to fund projects that don't generate true economic value. There is coercion in this system: governments tell banks to lend to builders, builders are told to build. Whether there is use (or demand) for the final outcome, or whether there is a positive financial return (ROI) is irrelevant. Growth targets must be met. And they are.

